ProQuant ANALYTICS

INDEPENDENT MODEL VALIDATION · ONE-PAGE SUMMARY
Demo Client · Report date 11 November 2026

**Demonstration.** Built from synthetic data.

Can we rely on the SME Probability-of-Default Model?

# No, not as it stands.

An input recorded after the decision flatters the model: without it Gini falls from 0.58 to 0.40. That is still above the minimum, so the model can be repaired. It also predicts too few defaults: 7.1% happened against 5.7% expected.

**2**
high-severity findings, of 11

**0.58 to 0.40**
Gini, once the input is removed

**1.25x**
actual defaults against predicted

## Decisions needed

| | DECISION | WHO | BY WHEN |
|---|---|---|---|
| 1 | Agree a remediation plan for F-01 | Model owner | By 2026-12-11 |
| 2 | Agree a remediation plan for F-02 | Model owner | By 2026-12-11 |
| 3 | Decide whether current lending decisions need an overlay until the refit | Model-risk committee | This meeting |
| 4 | Require revalidation before the refitted model goes live | Model-risk committee | Before go-live |

The evidence is in the report; each finding is in the findings log; the replication pack lets anyone rerun the numbers.